Contents

AMIS MARKET MONITOR

No. 83 – November 2020

COVID-19-ravaged economies must now endure the impacts of the second wave of the pandemic, which is set to wreak more havoc on people, economies and livelihoods in many parts of the world. Global food markets have so far exhibited a high degree of resilience, remaining on a healthy trend with firm demand and trade expanding. Yet to what extent and for how long demand for food commodities will hold up remain among the many uncertainties ahead. Indeed, a different situation is fast emerging in many national and sub-national contexts as employment disruptions are giving way to massive job losses, pushing millions of people into poverty and further deepening the world hunger crisis.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▼
Maize	▼	▼
Rice	▬	▬
Soybeans	▼	▼

▲ Easing ▬ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

The world food and agricultural trading system remains robust

The 2007-11 spikes in agricultural prices raised alarms over the state of world trade in agricultural commodities, especially in the context of global food security. In response, many markets witnessed the resurgence of commodity exchanges to increase price transparency and price transmission while at the same time buffer stocks became fashionable again as a means to stabilizing prices. Countries also embraced digital and satellite technology to heighten transactional efficiency, integrate markets, and improve estimates for production, usage and stocks. At global level, the Agricultural Market Information System (AMIS) was established to tackle the challenge of high food price volatility by providing timely market information for improved decision making across the food value chain.

While the structure of the international trading system has undergone fundamental changes (with a recent shift from global approaches to more restricted or geographically limited trading regimes) the agricultural sector has demonstrated an astonishing capacity to adapt to evolving national and global policies, allowing it to thrive. Unlike the energy and industrial metals markets, which engage in resource extraction, refinement and export (often under state control), basic agricultural production involves the decisions and exertions of millions of farmers. Similarly, while manufacturing often embraces value-added processes before product distribution, grains and oilseeds have a streamlined supply chain: they usually ship in bulk before being processed and distributed domestically.

The exponential growth of agricultural trade over the last 25 years demonstrates that restrictive trade interventions such as tariffs, quotas, taxes and bans have been largely ineffective: In most cases, they proved temporary phenomena that were eventually countered by supply chain adjustments and arbitrage by the major market players. For example, productivity increases in the Black Sea region have transformed a former net importer to the largest exporter of grains over the past three decades. Brazil – a contra seasonal supplier – continued to increase acreage yearly, now surpassing the US to become the largest exporter of maize and soybeans. Even with many countries providing sizable subsidies and other market distorting measures as part and parcel of a national safety-net mechanism, most policies since the 1990s have tended to decouple support levels from commodity prices. This has increasingly allowed the global forces of supply and demand to determine prices, hence allowing agricultural markets to maintain a generally healthy equilibrium.

Trade tensions and market interventions have resurfaced again since 2018, largely fuelled by the US initiative to reduce its reliance on imports of industrial and finished goods, most notably from China that expanded the conflict also to agricultural markets. However, trade escalations began to ease with the signing of the bilateral Phase One Trade agreement (2019) while the US pledged to realign its interests, particularly by using bilateral trade pacts with several countries and regions, challenging the long-fought establishment of multilateralism.

Although not completely inured to a bout of unilateralism and protectionism, the agricultural sector, building on multiple resiliencies over the years, has demonstrated its capacity to remain largely insulated from major disruption, including trade escalations. Elevated awareness, much in line with the main goal of AMIS, and instantaneous price signalling, have helped maintain global food supply chains intact, even during the current pandemic of COVID-19. In fact, trade in grains and oilseeds has continued to expand over the past couple of months, contrary to massive contractions confronting non-agricultural sectors.

World supply-demand outlook

- **Wheat** production forecast for 2020 lowered by 2.2 million tonnes m/m, reflecting lower output expectations in Ukraine, as well as in Argentina, where persistent dry weather curtailed yield prospects compared to earlier projections.
- Utilization in 2020/21 is expected to increase by 1.0 percent y/y, boosted by upward adjustments this month in the EU, Pakistan and the US more than offsetting downward revisions in Argentina and the Philippines.
- Trade in 2020/21 (July/June) to exceed the 2019/20 record, albeit marginally, supported by stronger demand from China, the EU, Morocco, Pakistan and Egypt, propelling bigger shipments from Australia, Canada, and the Russian Federation than in 2019/20.
- Stocks (ending in 2021) cut by 3.8 million tonnes since last month mostly on downward revisions in the EU, the Russian Federation, and the US; indicating further tightening of supplies in major exporters in 2020/21.

Wheat

	FAO-AMIS 2019/20 est	FAO-AMIS 2020/21 f'cast 8 Oct	FAO-AMIS 2020/21 f'cast 5 Nov	USDA 2019/20 est	USDA 2020/21 f'cast 9 Oct	IGC 2019/20 est	IGC 2020/21 f'cast 29 Oct
Prod	761.9	764.9	762.7	764.5	773.1	763.0	763.9
	628.3	630.9	628.7	630.9	637.1	629.4	628.9
Supply	1,033.2	1,039.7	1,038.5	1,048.5	1,072.5	1,024.6	1,042.2
	784.3	777.9	776.8	775.1	784.8	772.4	778.3
Utiliz.	750.5	756.6	758.0	749.1	751.0	746.3	751.4
	625.0	626.7	628.1	623.1	621.0	617.5	619.4
Trade	184.0	184.5	184.5	191.4	189.6	185.1	185.5
	178.8	177.5	177.5	186.0	182.1	178.4	178.1
Stocks	275.8	284.8	281.0	299.4	321.5	278.3	290.8
	148.1	146.2	142.4	147.7	157.3	148.1	151.5

- **Maize*** 2020 production forecast cut sharply on further downward revisions in the EU, the US and Ukraine; however, world production is still expected to increase y/y to a new record.
- Utilization in 2020/21 raised on stronger-than-earlier anticipated growth prospects for non-food use, especially in China.
- Trade forecast for 2020/21 (July/June) lifted on stronger import demand in the EU and several countries in Asia and South America, now pointing to significant y/y trade expansion to a new record.
- Stocks (ending 2021) forecast to decline for the third consecutive season, falling below their opening level following this month's sharp downward revisions in several countries.

Maize

	FAO-AMIS 2019/20 est	FAO-AMIS 2020/21 f'cast 8 Oct	FAO-AMIS 2020/21 f'cast 5 Nov	USDA 2019/20 est	USDA 2020/21 f'cast 9 Oct	IGC 2019/20 est	IGC 2020/21 f'cast 29 Oct
Prod	1,138.2	1,170.8	1,160.3	1,116.3	1,158.8	1,123.6	1,155.5
	877.5	910.8	899.3	855.6	898.8	862.8	897.5
Supply	1,499.5	1,527.4	1,515.1	1,436.1	1,463.1	1,450.4	1,452.0
	1,040.5	1,066.5	1,053.2	965.2	1,002.1	985.1	1,002.6
Utiliz.	1,143.1	1,167.7	1,168.5	1,131.9	1,162.6	1,153.9	1,173.2
	877.8	893.9	891.7	854.9	883.6	872.1	886.1
Trade	173.4	176.0	179.8	175.2	183.4	173.4	179.9
	168.0	168.8	172.6	168.2	176.4	165.4	172.9
Stocks	354.8	356.6	345.8	304.2	300.5	296.5	278.8
	153.9	162.5	153.7	103.3	111.6	105.0	109.5

- **Rice** production in 2020 down marginally m/m, as improved prospects for Indonesia partly compensate for downgrades namely for Myanmar and Nigeria.
- Utilization in 2020/21 to expand by 1.5 percent y/y, driven by a second successive season of per capita food use gains in Asia and a recovery in Africa.
- Trade in 2021 predicted to expand for the first time in four years, while still falling short of previous records, as economic uncertainties cloud the import outlook for various African buyers and demand growth in Asia may be confined to a few countries.
- Stocks (2020/21 carry-out) still seen largely unchanged y/y, sustained by accumulations in the major exporters that could lift their stock-to-disappearance ratio to a seven-year high.

Rice

	FAO-AMIS 2019/20 est	FAO-AMIS 2020/21 f'cast 8 Oct	FAO-AMIS 2020/21 f'cast 5 Nov	USDA 2019/20 est	USDA 2020/21 f'cast 9 Oct	IGC 2019/20 est	IGC 2020/21 f'cast 29 Oct
Prod	501.1	509.1	508.7	495.8	501.5	496.9	504.0
	357.5	364.9	364.5	349.1	354.5	350.2	355.8
Supply	685.9	691.4	691.1	672.4	678.6	672.2	679.5
	436.9	443.8	443.5	410.6	415.1	416.9	421.7
Utiliz.	502.5	510.5	510.3	495.3	499.4	496.7	501.4
	356.6	363.5	363.3	350.2	353.1	351.1	353.9
Trade	44.4	47.1	47.2	43.0	44.2	42.4	45.2
	41.7	44.5	44.6	40.7	42.0	40.0	43.0
Stocks	182.4	182.0	182.0	177.1	179.2	175.4	178.1
	79.0	81.7	81.7	60.6	62.7	63.1	65.6

- **Soybean** 2020/21 production lowered somewhat, mainly reflecting downward corrections for the US and Brazil related to, respectively, area revisions and weather conditions; global output would still be record-high.
- Utilization in 2020/21 unchanged m/m, with higher forecasts for China offset by downward revisions for a number of countries.
- Trade forecast for 2020/21 (Oct/Sept) raised slightly m/m, as a higher export forecast for the US outweighs a downward revision for Paraguay.
- Inventories (2020/21 carry-out) scaled down, largely reflecting a sharp downward revision for the US, which overshadows upward adjustments elsewhere and pushes global stocks to a 3-year low.

Soybeans

	FAO-AMIS 2019/20 est	FAO-AMIS 2020/21 f'cast 8 Oct	FAO-AMIS 2020/21 f'cast 5 Nov	USDA 2019/20 est	USDA 2020/21 f'cast 9 Oct	IGC 2019/20 est	IGC 2020/21 f'cast 29 Oct
Prod	339.4	370.8	368.0	336.6	368.5	338.3	370.0
	321.3	352.0	349.2	318.5	350.1	320.1	351.1
Supply	402.7	428.3	424.7	449.6	462.2	400.4	416.9
	373.6	390.3	386.5	412.1	419.1	261.0	269.1
Utiliz.	358.8	369.5	369.8	308.7	370.6	353.5	369.4
	250.5	255.0	254.4	217.2	253.2	243.6	254.1
Trade	167.6	165.8	166.9	164.6	167.9	164.2	165.3
	68.5	67.4	67.5	65.6	65.0	67.4	67.3
Stocks	57.1	58.0	54.4	93.8	88.7	46.9	46.5
	37.7	36.2	32.3	68.1	66.3	17.4	15.0

Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.
To review and compare data, by country and commodity, across three main sources, go to https://app.amis-outlook.org/#/market-database/view-and-compare
Estimates and forecasts may differ across sources for many reasons, including different methodologies.
** The 2020/21 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2020 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2021 in their 2020/21 world production numbers.*
For more information see Explanatory notes on the last page of this report.

Revisions (FAO-AMIS) to 2020/21 forecasts since the previous report

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***-2246***	***-6***	***1420***	***-29***	***-3782***	***-10472***	***3783***	***800***	***3770***	***-10805***
Total AMIS	***-2106***	***-955***	***300***	***-64***	***-3952***	***-9228***	***3028***	***-87***	***3720***	***-9942***
Argentina	-700	-	-600	-	-	-	-	-	-	-
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	20	-	120	-200	-	12	600	512	3800	-2500
Canada	-	-	-	-	-	-	200	360	90	400
China Mainland	-	-	-	-	-	1000	-	3000	-	-2000
Egypt	-	-	-	-	-	-	-	-200	-	-
EU	-	-	1500	-	-1500	-3000	1500	-500	-	-4000
India	-	-	-	-	-	-500	-	-	-100	-636
Indonesia	-	-	10	20	-	-	-	-	-	-
Japan	-	145	-	-	-	-	-522	-500	-	100
Kazakhstan	-	-	-	-	-	-	-	-	-	-32
Mexico	-	-	-	-	-	-	500	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-1000	-990	-10	-	-	-100	-150	-	-
Rep. of Korea	-	-	-	-	-	-	600	100	-	300
Russian Fed.	-	-	-	1000	-1000	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	50	-50	-	100
South Africa	62	-200	12	-	-150	-123	-	-123	-	-
Thailand	-	-	-	-	-	-	100	-	-	100
Turkey	-	-	-	500	-144	-	-	70	430	-
Ukraine	-1000	-	-	-1000	-	-2000	-	-	-2000	-
UK	-167	-	-29	-400	-696	-	-	-110	-	110
US	-321	-100	273	-	-1162	-4517	-	-2540	1500	-1977
Viet Nam	-	200	4	26	700	-100	100	44	-	93

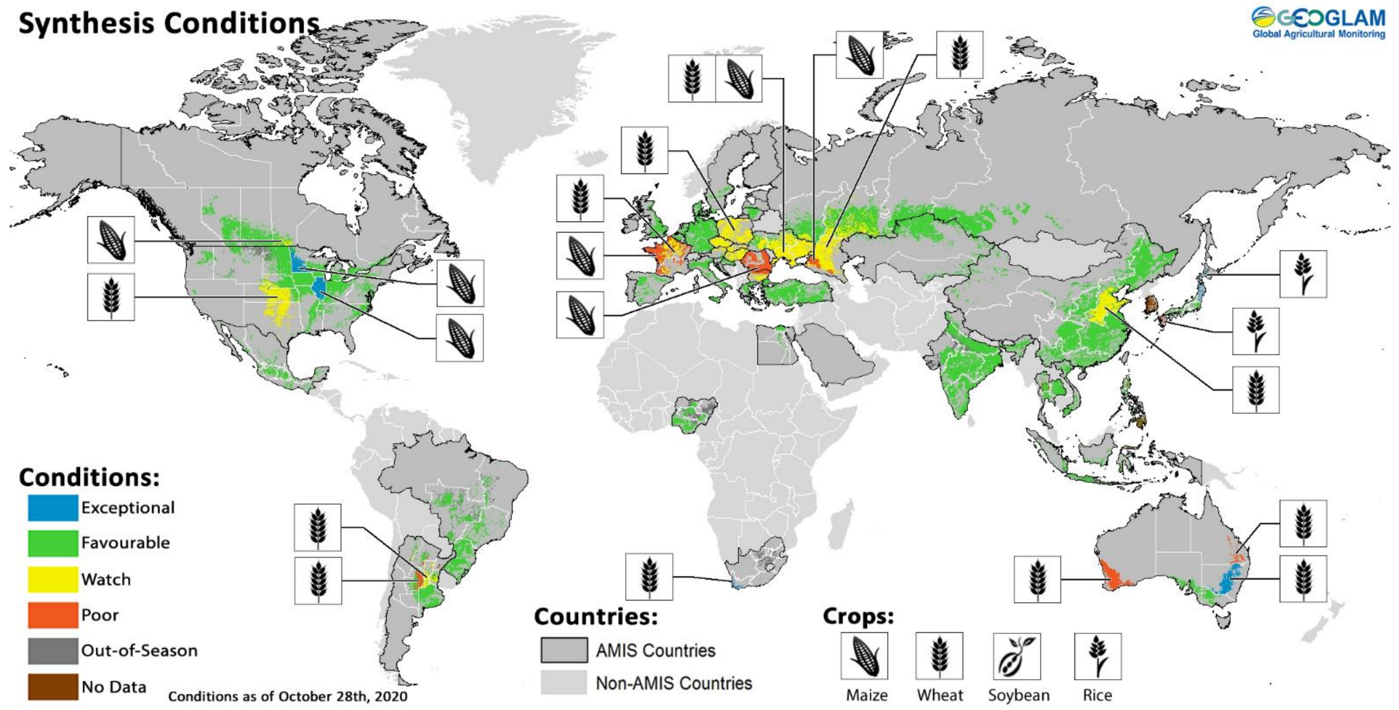
	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***-367***	***101***	***-205***	***91***	***-12***	***-2830***	***1101***	***250***	***1100***	***-3581***
Total AMIS	***451***	***230***	***162***	***540***	***464***	***-2330***	***1101***	***258***	***1800***	***-3681***
Argentina	-	-	-	-	-	500	-	100	200	500
Australia	-3	-	-3	-	-	-	-	-	-	-
Brazil	-	-10	35	20	-95	-1000	-	-	-	-400
Canada	-	-	-	-	-	-	-	2	-	275
China Mainland	-	-	-	200	-	-	1000	900	100	300
Egypt	-	-	-	-	-	-	-	-	-	-
EU	33	240	153	-10	90	-	-200	-100	-	-
India	-	-	-365	330	-	-600	-	-300	-	-300
Indonesia	743	-	443	-	300	-	-	-60	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-50	-	150
Nigeria	-294	-	-84	-	120	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-72	-	-42	-	-30	-	-	-	-	-
Russian Fed.	-	-	-	-	-	-	-	-200	-	300
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-	-	-	-	300	100	-	100
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-	16	-	-2	-	-	-	-	-
UK	-	-	10	-	20	-	-75	-75	-	-
US	43	-	-1	-	60	-1230	-	-140	1500	-4620
Viet Nam	-	-	-	-	-	-	76	81	-	14

World Balances

** Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.*
To review and compare data, by country and commodity, across three main sources, go to http://statistics.amis-outlook.org/data/index.html#COMPARE
Estimates and forecasts may differ across sources for many reasons, including different methodologies. ***For more information see Explanatory notes on the last page of this report.***

Crop monitor

Crop conditions in AMIS countries (as of 28 October)



Crop condition map synthesizing information for all four AMIS crops as of 28 October. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. ***Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.***

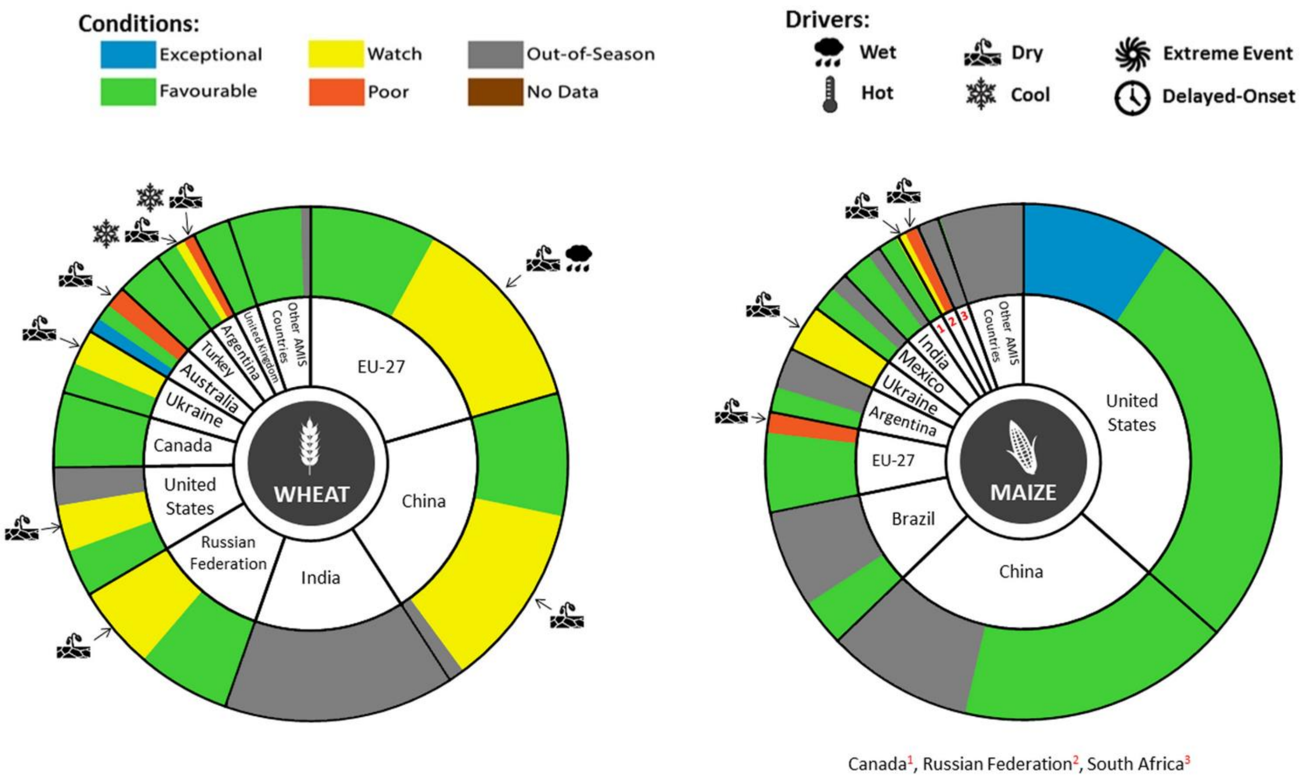
Conditions at a glance

Wheat - In the northern hemisphere, spring wheat harvest wraps up under favourable conditions. Winter wheat sowing is nearing completion with a few areas of concern in the EU, Ukraine, the Russian Federation, China, and the US. In the southern hemisphere, dryness continues to affect parts of Argentina and Australia.
Maize - In the northern hemisphere, harvest is progressing with some downgrading of conditions in parts of the EU, Ukraine, and the Russian Federation. In the southern hemisphere, Argentina and Brazil are sowing the spring-planted crop under favourable conditions.
Rice – Harvesting is ongoing under favourable conditions in China and India. In Southeast Asia, conditions are favourable for both wet-season rice in the northern countries and dry-season rice in Indonesia.
Soybeans - In the northern hemisphere, harvesting is progressing under favourable conditions. In the southern hemisphere, sowing is underway in Brazil and Argentina under generally favourable conditions.

La Niña likely by the end of the year

The El Niño-Southern Oscillation (ENSO) is currently in the La Niña phase, with very cool ocean conditions in the eastern equatorial Pacific. La Niña conditions are expected to continue during November to February (~85 percent chance) and potentially through February to April (~60 percent chance).

La Niña conditions typically reduce November to February/May rainfall in East Africa, the southern US, the northern Middle East, southern Central Asia, Afghanistan, Pakistan, and India. Southern Brazil, northern Argentina, eastern China, the Korean Peninsula, and southern Japan typically see reduced rainfall into January. La Niña conditions typically increase November to February/May rainfall in Southeast Asia, Southern Africa, southern Central America, northern South America, and in southernmost India and Sri Lanka. Australia and Indonesia typically see increased rainfall into December.



Wheat

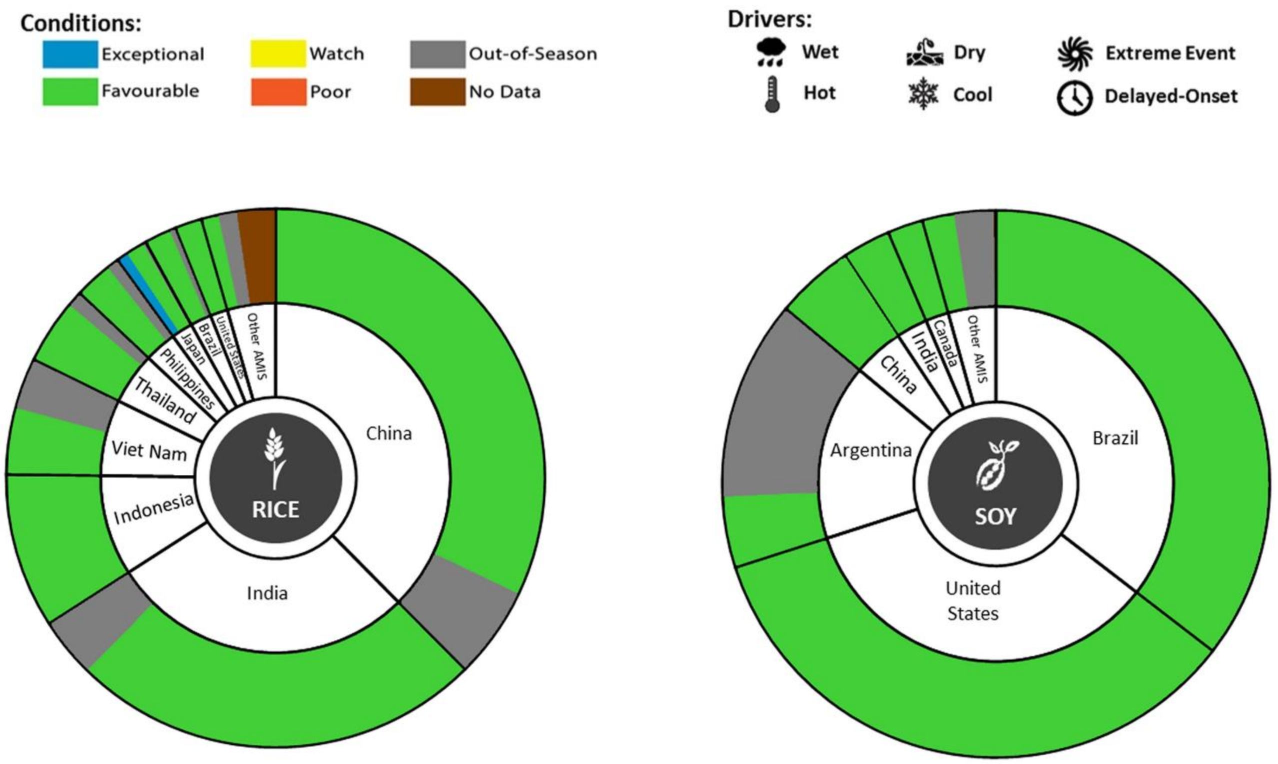
In the **EU**, conditions are mixed as first dry and then wet conditions have hampered sowing activities in France and eastern Europe, however, central Europe remains under favourable conditions. In **Ukraine**, recent rainfall has benefited winter wheat sowing and emergence in the central and western regions, while southern and eastern regions remain under watch conditions due to ongoing drought. In the **Russian Federation**, spring wheat harvesting is wrapping up under favourable conditions. Winter wheat sowing continues to be impacted by low soil moisture and above-average temperatures in Volga and the southern regions. In **China**, sowing of winter wheat is ongoing under mixed conditions with some low soil moisture affecting emergence in the east. In the **US**, sowing of winter wheat is ongoing under mixed conditions due to expanding dryness in the central and southern Great Plains. In **Canada**, conditions are favourable as harvest is wrapping up for spring wheat and sowing of winter wheat is ongoing. In **Argentina**, conditions continue to be mixed with favourable conditions in Buenos Aires and La Pampa, while in the remaining provinces, recent rainfall has come too late for many crops damaged by prolonged dryness. In **Australia**, conditions are split with favourable conditions in South Australia and Victoria, exceptional conditions in New South Wales, and then poor conditions in Queensland and Western Australia due to prolonged dryness.

Maize

In the **US**, harvesting is advancing under favourable to exceptional conditions with the highest yields expected in Minnesota and Illinois. In **Canada**, conditions are favourable across much of the country with harvest ongoing, recent frosts in Manitoba may impact yields and crop quality. In **Mexico**, conditions are favourable for the spring-summer crop with harvesting beginning in some areas. In the **EU**, harvest is wrapping up under generally favourable conditions except for France, Bulgaria, and Romania where summer drought has reduced yields. In **Ukraine**, harvesting is over halfway complete under mixed conditions due to the severe summer drought pushing expected yields below the 5-year average. In the **Russian Federation**, harvest is progressing under mixed conditions in the central and southern regions due to drought and high temperatures during the growing season. In **China**, conditions are generally favourable for both spring-planted and summer-planted crops as harvesting wraps up. In **India**, harvesting of Kharif maize is ongoing under favourable conditions. In **Brazil**, conditions are favourable for the spring-planted crop in the south region. Meanwhile, the southeast is awaiting further rainfall to advance sowing activities. In **Argentina**, sowing is wrapping up for the spring-planted crop under favourable conditions with continued support from recent rains.

Pie chart description: *Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).*

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.



Rice

In **China**, conditions are favourable for both single-season and late-season rice as harvesting continues. In **India**, conditions are favourable for Kharif rice with harvesting beginning in the northern and central states. There is an increase in sown area this season compared to last year. In **Indonesia**, harvesting of dry-season rice is at its peak with yields expected to be slightly lower than last year's due to less rainfall during the season. Sowing of wet-season rice is beginning under favourable conditions. In **Viet Nam**, conditions are favourable in the south for the continued harvesting of the summer-autumn (wet-season) crop and the beginning of harvesting for the autumn-winter (wet-season) crop. In the north, harvesting is beginning for the summer-autumn (wet-season) crop under favourable conditions with slightly higher expected yields compared to last year. In **Thailand**, wet-season rice is entering the grain filling stage under favourable conditions with an increase in total sown area compared to last year, along with an increase in expected yields. In the **Philippines**, wet-season rice is under favourable conditions with ample rainfall this season. Crops sown from July to August are in the reproductive stage. In **Japan**, harvesting is wrapping up under generally favourable conditions with exceptional conditions in Hokkaido and poor conditions in Kyushu due to the impacts of several typhoons. In the **US**, harvesting is wrapping up under favourable conditions.

Soybeans

In the **US**, harvesting is wrapping up under favourable conditions with the total sown area and expected yields up compared to last year. In **Canada**, harvest is progressing under favourable conditions with yields expected to be slightly above average. In **China**, harvest is wrapping up under favourable conditions. In **India**, harvesting is ongoing under favourable conditions with an increase in sown area compared to average. In **Ukraine**, harvest is ongoing under generally favourable conditions with expected yields only slightly below average due to summer dryness. In **Brazil**, sowing is ongoing under favourable conditions despite the delayed start due to earlier low soil moisture levels. A slight increase in sown area is expected compared to last year. In **Argentina**, sowing has begun under favourable conditions in Buenos Aires. The remaining provinces are awaiting the beginning of the sowing window.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](), published 5 November 2020

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.
More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 7 October, the Ministry of Agriculture, Livestock and Fisheries in **Argentina** approved Resolution No. 41/2020, authorizing the cultivation of a drought-resistant GM wheat variety (HB4). Marketing remains, however, largely subject to Brazil's import approval, as the country accounts for 40 percent of Argentina's wheat exports. Other key AMIS destination markets are Indonesia and Thailand.
- On 8 October, **Canada's** Pest Management Regulatory Agency notified the WTO of proposed changes to maximum residue levels (MRLs) for trinexapac-ethyl, a pesticide used on several products, including wheat (G/SPS/N/CAN/1344; final date for comments: 16 December).
- On 19 October, **Egypt** exempted domestic sellers of imported wheat from sieving and fumigation fees. The sieving fee was set at USD 2 per tonne and USD 50 cents for fumigation.

Maize

- On 14 October, **Argentina's** national food safety agency notified the WTO of new phytosanitary certification requirements applying on maize originating from Guatemala. Import shipments are to be duly inspected upon entry and declared free of specific plant pests (G/SPS/N/ARG/242).
- On 2 October, **Brazil** notified the WTO of proposed amendments to existing MRLs for azoxystrobin (G/SPS/N/BRA/1782). These MRLs apply to several products, including maize (deadline for comments: 12 November).

Rice

- On 12 October, **Brazil** notified the WTO of the adoption of MRLs for cyantraniliprole (G/SPS/N/BRA/1728/Add.1) and beta-cyfluthrin (BRA/1734/Add.1). Both pesticides are used on several products, including rice.
- On 5 October, **Japan** notified the WTO of proposed amendments by the Consumer Affairs Agency to the Food Labelling Standards applicable to polished and unpolished rice (G/TBT/N/JPN/675). Among the proposed amendments, the labelling of production place, rice variety, and production year would no longer require prior certification.
- On 6 October, to support domestic prices during the main wet-season harvest, the **Philippines'** Department of Agriculture instructed local operators to stop importing rice in October and November.

Soybeans

- In October, **Brazil** notified the WTO of the adoption of pesticide MRLs for soybeans, i.e. acephate (G/SPS/N/BRA/1729/Add.1), fipronil (BRA/1709/Add.1) and procymidone (BRA/1726/Add.1). Proposed changes to existing MRLs for clethodim were also reported (BRA/1783).
- On 19 October, **Japan** notified the WTO of proposed pesticide MRLs for pyriproxyfen which shall be applied to various products including soybeans (G/SPS/N/JPN/788; deadline for comments: 18 December).

Biofuels

- On 14 October, the Ministry of Economy in **Argentina** adopted Resolution 4/2020 increasing the price of maize-based ethanol used in fuel blending from ARS 29.8 to ARS 32.7 (USD 0.39 to USD 0.42) per litre.
- Following earlier limited reductions in the country's mandatory biodiesel blending rate, on 7 October, **Brazil's** regulatory agency for petroleum, biofuel and gas approved a cut in the blending rate from 12 to 11 percent from November through December 2020, citing continued concerns about possible shortfalls in biodiesel supplies stemming from reduced domestic soybean availabilities.
- On 8 October, the **European** Commission extended the Swedish tax exemption regime for liquid biofuels. Through 31 December 2021, Sweden will be authorized to exempt pure and highly involved liquid biofuels, such as E85, rapeseed-based biodiesel and HVO, from energy and carbon dioxide taxation. The measure is aimed at reducing fossil fuel consumption in transport.

Across the board

- On 7 October, **Australia** notified the WTO of the application of emergency measures to safeguard its territory against the entry, establishment and spread of khapra beetle to plant hosts such as rice, wheat and soybean (G/SPS/N/AUS/502/Add.2). From 15 October, the entry of high-risk plant products in various raw and processed forms for any end use will not be permitted, including in baggage carried by international travellers or mail postage.
- On 17 October, the Executive Management Committee of the Chamber of Foreign Trade in **Brazil** announced the temporary suspension of non-Mercosur import tariffs on soybeans, soymeal and soy oil until 15 January 2021, and on maize until 31 March 2021. Import tariffs were previously 8 percent for maize and soybean, 6 percent for

AMIS Policy database

Visit the AMIS Policy database at: *http://statistics.amis-outlook.org/policy/*

*The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.*

*Only AMIS participants are marked in **bold**.*

soymeal and 10 percent for soy oil. The measures are intended to contain food price inflation.

- In October, **Brazil** notified the WTO of new pesticide MRLs on several products including wheat, oats and barley. New MRLs were proposed for terbuthylazine (G/SPS/N/BRA/1781), mancozeb (BRA/1784) and fluroxypyr (BRA/1780). Brazil also adopted a previously notified tolerance limit on saflufenacil (BRA/1740/Add.1) while existing residue limits on imidacloprid were subject to proposed amendments (BRA/1790 - deadline for comment: 12 December).

- On 21 October, the **European** Parliament and the EU Council granted equivalence to Ukraine's system of field inspections of cereal seed-producing crops, their sampling, testing and control; as well as equivalence to cereal seed produced and officially certified in Ukraine (Decision (EU) 2020/1544).

- On 9 October, the **French** Agency for Food, Environmental and Occupational Health and Safety (ANSES) issued new regulations as part of the government's glyphosate withdrawal plan. Use of glyphosate is restricted to situations where there is no substitute for this substance in the short term. In the case of arable crops, including cereals and oilseeds, the use of glyphosate is prohibited when the plot has been ploughed between two crops but authorised in situations of regulated mandatory control. The maximum authorised annual rate was restricted to 1080 g per hectare, i.e. a 60 percent reduction compared to currently authorised levels. Glyphosate-containing products that have had their market authorisations renewed by ANSES benefit from a six-month exemption.

- On 19 October, **Japan** notified the WTO of proposed new pesticide MRLs for azoxystrobin (G/SPS/N/JPN/784), bixafen (JPN/785), cyflufenamid (JPN/786) used on various products including oats, wheat, maize, rice and soybeans. The comment period is open until 18 December. Amendments to bring residue limits of pyrifluquinazon (used on various products, including maize and soybeans) in line with international standards were also notified (JPN/787).

- On 13 October, the Minister of Agriculture and Rural Development in **Nigeria** announced the expansion of the Agriculture for Food and Job Plan (AFJP) through additional interest-free loan support worth NGN 600 billion (USD 156.9 millions) for the purchase of farm inputs by smallholder producers. These additional funds will be provided by the federal government through the Agro-Processing Productivity Enhancement and Livelihood Improvement Support Project (APPEALS), conducted in partnership with the World Bank Group.

- On 22 October, **Turkey** issued a Presidential Decree (Decision No. 3100) eliminating with immediate effect import tariffs on wheat, barley, and maize from 45, 35 and 25 percent, respectively until 31 December 2020.

- On 8 October, the **UK** and **Ukraine** signed a Political, Free Trade and Strategic Partnership Agreement. The Agreement ensures that UK businesses will be afforded the same preferential treatment in trade, services and public procurement, as currently available under the EU-Ukraine Association Agreement.

- On 16 October, the **US** notified the WTO of the establishment of new MRLs for afidopyropen, a pesticide used on several crops, including soybean (G/SPS/N/USA/3206).

- On 19 October, the **US** and **Brazil** agreed to update Protocols on Trade Rules and Transparency to further facilitate bilateral trade flows. In particular, the use of electronic documents and approval systems is expected to be enhanced. Phytosanitary certificates and customs declarations can now be submitted and accepted by traders electronically.

Stop-press

- On 28 September, a WTO dispute panel was established to determine whether **China** complied with an earlier ruling regarding the provision of subsidies to wheat and rice producers ("China – Agricultural Producers" - DS511).

- In September, **Canada** (G/AG/GEN/167/Rev.1), **EU** (G/AG/GEN/159/Add.2) and **Japan** (G/AG/GEN/166) updated the WTO on measures taken to assist the agricultural sector and vulnerable communities address the impacts of COVID-19. Furthermore, as part of a larger economic recovery plan to overcome the COVID-19 crisis, **France** announced the allocation of EUR 100 million (USD 117.6 millions) to develop the production of plant-based proteins to reduce dependency on imported vegetable proteins intended for animal husbandry – notably soybeans and soymeal.

- On 28 September, after clearance by the **European** Food Safety Authority and the European Commission, the marketing of three new GM soybean varieties has been authorised for food and feed use – but not for domestic cultivation – for a period of 10 years. The three varieties are characterized by their resistance to herbicides containing glyphosate, dicamba and glufosinate-ammonium, which are widely used in the Americas. All products derived from the GM varieties will be subject to stringent labelling and traceability requirements. The company that developed the varieties now expects to launch sales in North America next year.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Oct 2020 Average*	% Change	
		M/M	Y/Y
GOI	233	+ 8.4%	+ 22.1 %
Wheat	209	+ 7.2 %	+ 13.3 %
Maize	229	+ 15.6 %	+ 31.9 %
Rice	185	- 1.6 %	+ 14.2%
Soybeans	233	+ 9.5 %	+ 27.2%

*Jan 2000=100, derived from daily export quotations

Wheat

Uncertainty about production prospects in some regions continued to propel world wheat export prices higher during October, with the IGC GOI wheat sub-Index climbing by 7 percent m/m. Much of the focus remained on poor growing conditions for Argentina's 2020/21 crop, where local analysts sharply lowered production expectations. Market participants also continued to monitor closely less than ideal conditions for 2021/22 northern hemisphere crops, including in parts of Europe, the Black Sea region and North America. While the overall harvest in Australia was still expected to be large, some price support was linked to deteriorating production prospects in western growing areas and potential quality damage from untimely rains in the east. Solid export demand and strong rowcrop values, especially for maize, also contributed to generally bullish sentiment in markets. Some improvement in 2021/22 crop weather and escalating concerns about COVID-19 contributed to a softer price tone late in the month.

Maize

The rally in world maize export prices gathered pace during October, the IGC GOI sub-Index surging to a more than six-year high, up by an average of 16 percent m/m. Solid gains in US prices were linked to continued purchases by China, as well as fundamental underpinning stemming from USDA’s downgraded production estimate. While harvesting progressed at a quicker than average pace, late-month snow delays added additional support. Quotations in Brazil rose on solid demand and limited grower selling amid concerns about dry planting weather. Export values in Ukraine soared on crop worries and reports of widespread defaults by local farmers, fuelling speculation about a possible Force Majeure declaration or even export restrictions.

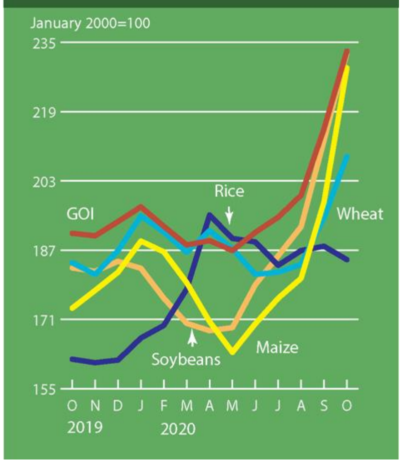
Rice

Average international rice prices weakened in October, led by declines in Thailand where soft demand ahead of main crop harvesting weighed on sentiment. In contrast, offers in Viet Nam were mildly stronger, with underpinning from delays due to heavy rains and flooding. Indian quotes were broadly steady as strong government procurement was offset by the onset of early main crop harvesting, while US offers fell as cutting neared completion. Elsewhere, South American values were supported by heavy demand from buyers in Brazil amid tight domestic supplies.

Soybeans

Building on the previous month’s sizeable increase, average global soybean values advanced by 10 percent in October on strength at all major origins. With support from strong international demand and tightening port loading capacity more than offsetting seasonal harvest pressure and, more recently, renewed COVID-19 worries, Gulf export values moved higher m/m. Gains were especially steep in Brazil, underpinned by thin old crop export availabilities and ongoing worries about 2020/21 planting delays in core producing areas. Despite recent export tax changes, reluctant farmer selling remained a central feature of Argentina’s market amid broader economic uncertainties, with background concerns about seeding conditions adding support.

IGC Commodity Price Indices

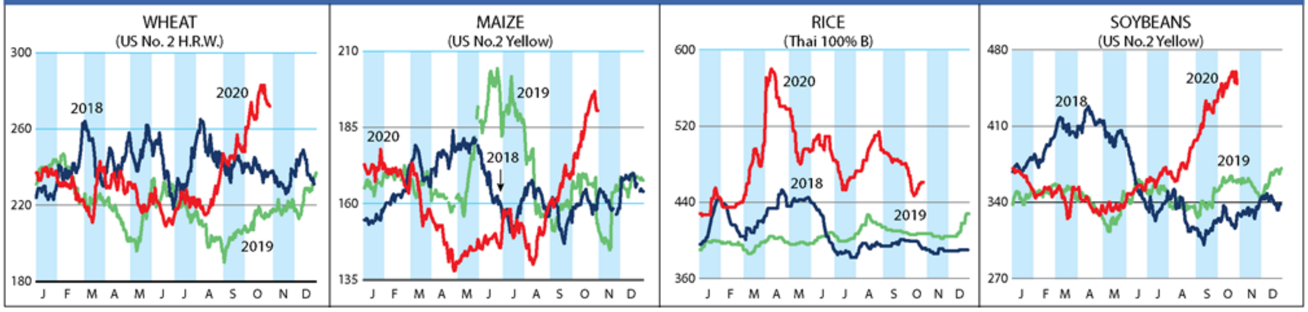


IGC commodity price indices

		GOI	Wheat	Maize	Rice	Soybeans
		(................. January 2000 = 100 ....)				
2019	October	**190.9**	184.1	173.6	161.8	182.9
	November	**190.3**	181.4	177.7	161.0	182.1
	December	**193.6**	186.9	181.9	161.6	184.4
2020	January	**197.0**	194.9	189.1	166.7	182.8
	February	**192.5**	191.2	186.6	169.6	175.9
	March	**188.2**	186.5	179.5	178.0	170.1
	April	**189.2**	191.5	170.5	195.1	168.4
	May	**186.9**	187.3	163.4	189.7	169.1
	June	**191.1**	181.4	170.0	188.9	179.0
	July	**194.6**	181.9	175.9	183.5	185.7
	August	**199.7**	183.7	180.5	186.9	192.4
	September	**215.0**	194.5	198.1	187.9	212.3
	October	**233.0**	208.6	229.1	184.8	232.5

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2018-2020)



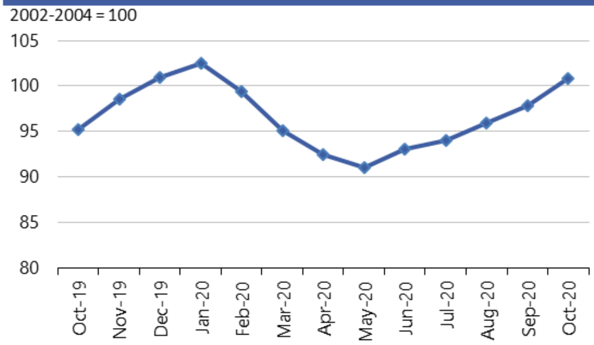
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
		USD/tonne				
Wheat (US No. 2, HRW)	30-Oct	272	261	214	4.2%	27.1%
Maize (US No. 2, Yellow)	30-Oct	191	175	169	8.6%	13.0%
Rice (Thai 100% B)	30-Oct	461	483	407	-4.6%	13.3%
Soybeans (US No.2, Yellow)	30-Oct	449	433	359	3.7%	25.1%

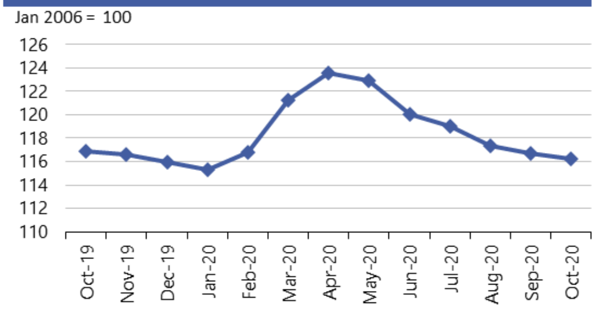
AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Oct 2020 Average	Monthly Change	Annual Change
Argentina	**ARS**	77.5	-3.2%	-32.6%
Australia	**AUD**	1.4	-1.4%	4.6%
Brazil	**BRL**	5.6	-4.2%	-37.8%
Canada	**CAD**	1.3	0.1%	-0.1%
China	**CNY**	6.7	1.3%	5.2%
Egypt	**EGP**	15.7	0.5%	3.2%
EU	**EUR**	0.8	-0.2%	6.0%
India	**INR**	73.5	-0.1%	-3.6%
Indonesia	**IDR**	14,680.0	0.7%	-4.1%
Japan	**JPY**	105.2	0.4%	2.7%
Kazakhstan	**KZT**	429.5	-1.0%	-10.4%
Rep. Korea	**KRW**	1,143.9	2.8%	3.3%
Mexico	**MXN**	21.3	1.7%	-10.1%
Nigeria	**NGN**	380.6	0.0%	-24.3%
Philippines	**PHP**	48.5	0.0%	5.7%
Russian Fed.	**RUB**	77.4	-2.0%	-20.4%
Saudi Arabia	**SAR**	3.8	0.0%	0.0%
South Africa	**ZAR**	16.4	1.6%	-10.3%
Thailand	**THB**	31.2	0.4%	-2.9%
Turkey	**TRY**	8.0	-5.3%	-37.3%
UK	**GBP**	0.8	0.2%	2.5%
Ukraine	**UAH**	28.3	-1.2%	-14.3%
Viet Nam	**VND**	23,181.7	0.0%	0.1%

FAO Food Price Index
Oct 2019- Oct 2020



Nominal Broad Dollar Index
Oct 2019 - Oct 2020



Source: US Federal Reserve

Futures market (US)

Futures Prices – nearby

	Oct-20 Average	% Change	
		M/M	Y/Y
Wheat	223	10.6%	19.4%
Maize	157	10.1%	2.4%
Rice	274	0.3%	5.3%
Soybeans	387	5.5%	13.9%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Oct-20	Sep-20	Oct-19
Wheat	29.1	24.6	21.4
Maize	21.7	20.7	27.1
Rice	19.1	21.3	15.4
Soybeans	21.1	16.2	16.1

Futures Prices

Futures prices for wheat, maize and soybeans rose m/m under a concurrence of supply and demand factors. A record level of US export sales for maize and soybeans and a resumption of motor fuel demand - following an easing of economic restrictions - lifted values for the two commodities. At the same time, the USDA lowered its crop and ending stock projections for both. Dry weather delayed planting progress in Argentina and Brazil, especially for soybeans, while export prices reached exorbitant levels at the port of Parangua. Despite estimates by the USDA for record global stocks of wheat, prices on the Chicago-based contract for soft red wheat attained a six-year high. Reduced crop prospects in Black Sea region and predictions of drought conditions resulting from La Niña in the winter wheat growing area of the US southern plains helped fuel the price surge. Wheat export demand was brisk, underscoring concerns about the renewed spread of the COVID-19 pandemic and possible supply disruptions. Rice prices seemed largely insulated from the other commodities' movements and were unchanged m/m. With respect to exogenous markets, the US dollar index remained stable over the last few months, defying predictions of its continued downward drift. Crude oil prices remained sluggish, with neither indicator materially contributing to the grains/oilseed rally. Prices for wheat, maize, soybeans and rice were 19.4, 2.4, 13.9 and 5.3 percent higher respectively y/y.

Volumes and volatility

Trade volumes for wheat, maize and soybeans declined m/m, and y/y (with the exception of wheat), despite the impressive price rally - normally a magnet for investors and speculators. Implied volatility rose m/m and y/y for all three commodities as is typical in swiftly rising markets. Historical volatility was also higher m/m and y/y, with the exception of maize, which endured a prolonged bout of high volatility during 2019 as a result of record rainfall in the US.

Basis levels and transport

Domestic basis levels held m/m, even as harvest proceeded apace across the entire US. In Illinois, average quotes to local elevators were minus USD 5 per tonne for maize, and minus USD 6 per tonne for soybeans, each under the respective December and November futures prices. In Iowa, maize and soybean bids were minus USD 9 and minus USD 22 respectively. Soft red wheat bids for delivery to northern flour mills, were quoted at small discounts to December futures. Maize and soybean bids delivered to gulf surged m/m at USD 33 and USD 34 per tonne over respective futures, climbing with record export sales, while soft red wheat values were quoted at around USD 25. Elevation costs at the New Orleans Gulf (the difference between barge shipments delivered gulf and FOB vessel) soared to USD 20 per tonne as gulf export elevators were reported to be operating at capacity. Barge traffic resumed on the Illinois River following repairs to four of its locks and dams with freight trending higher to around USD 30 per tonne. The USDA reported that accumulated exports and sales commitments for maize and soybeans were experiencing a record pace – with commitments more than doubling y/y, largely because of Chinese buying. Wheat exports and forward sales also surpassed the previous year.

Forward curves

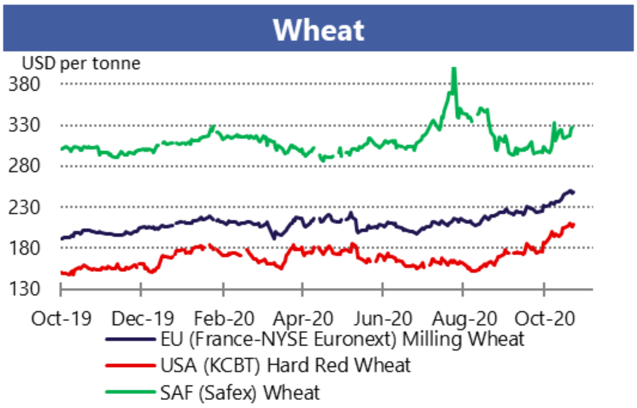
Forward curves for wheat, maize and soybeans all tightened into backwardation configurations as nearby futures prices rose faster than deferred. Soybeans displayed the most dramatic move with the November 2020 contract rising to a USD 45 premium to the November 2021, while the maize forward curve attained a USD 10 inverse in the December 2020/December 2021 spread. Both forward curves reflected the surge in export demand as projected harvest supplies and year-end stock levels declined. A small inversion in the wheat spread largely reflected dry weather concerns, both domestic and global.

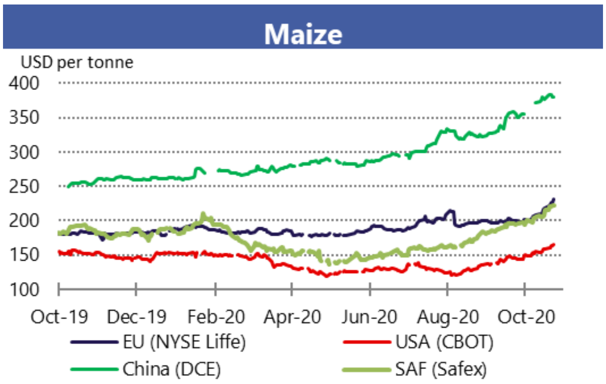
Investment flows

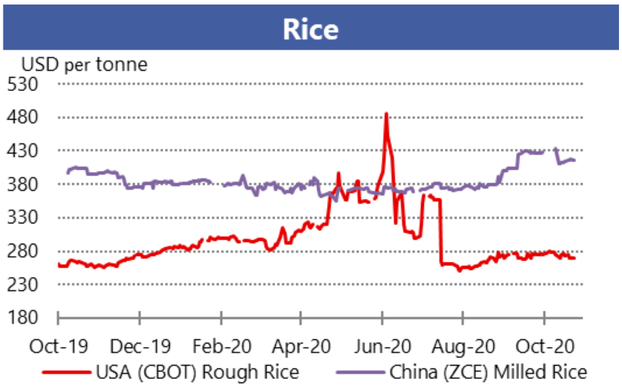
Managed money established moderate to large net longs in all three commodities as the fundamentals turned decidedly bullish. Commercials maintained their standard net short positions, while swaps dealers increased marginally their net longs over a period of months, especially in wheat.

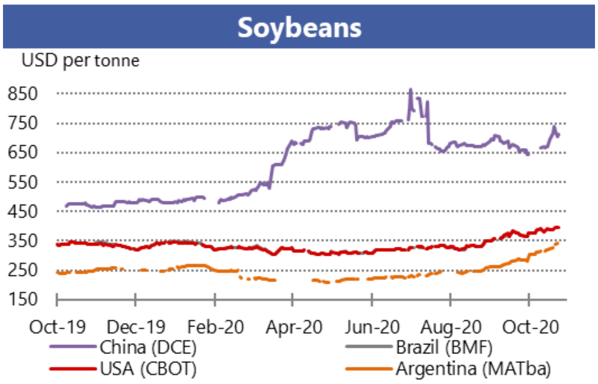
Market indicators

Daily quotations from leading exchanges - nearby futures

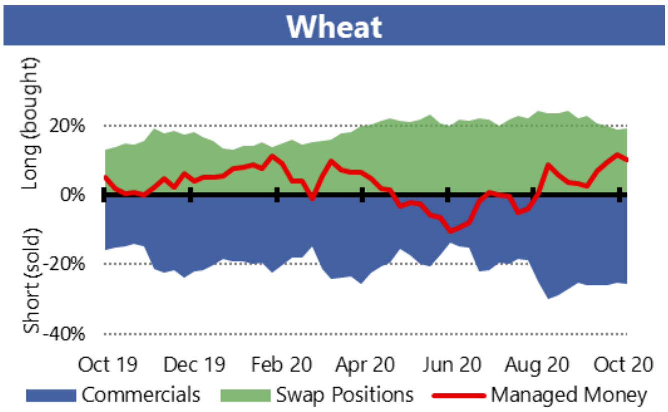


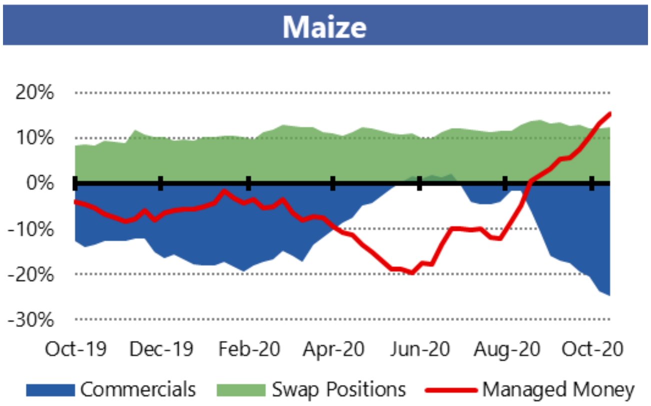


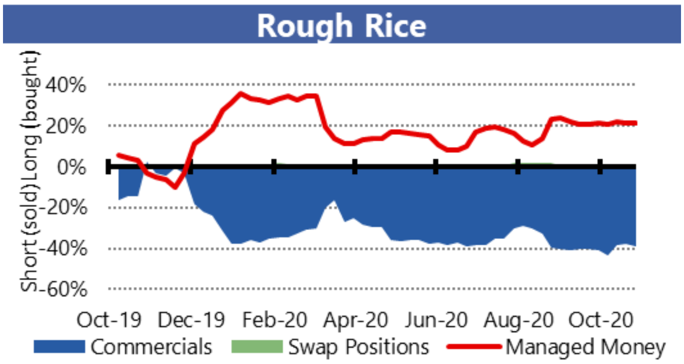


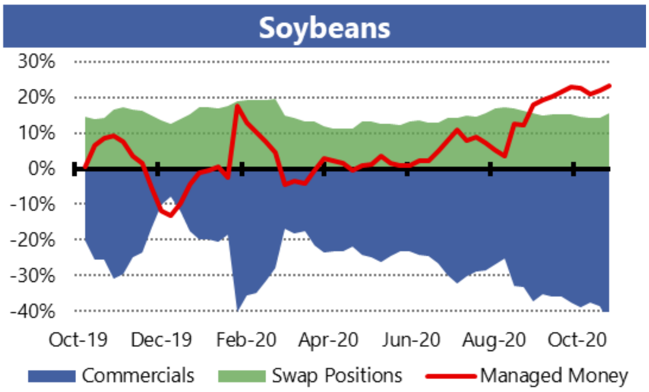


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*



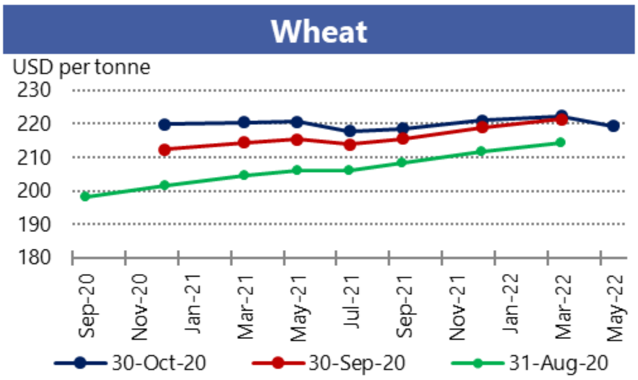


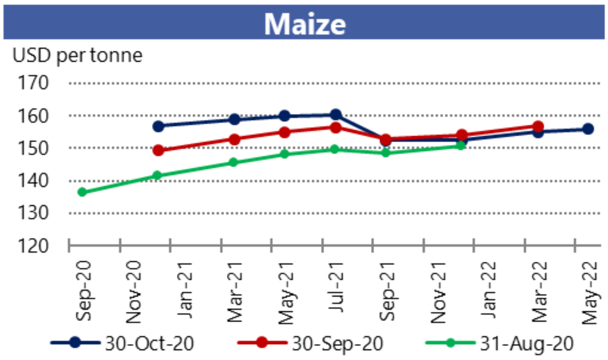


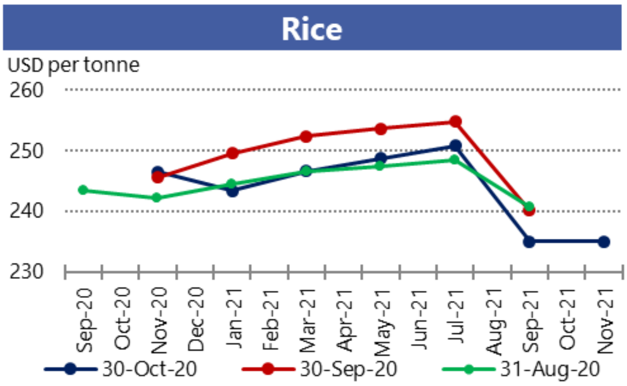


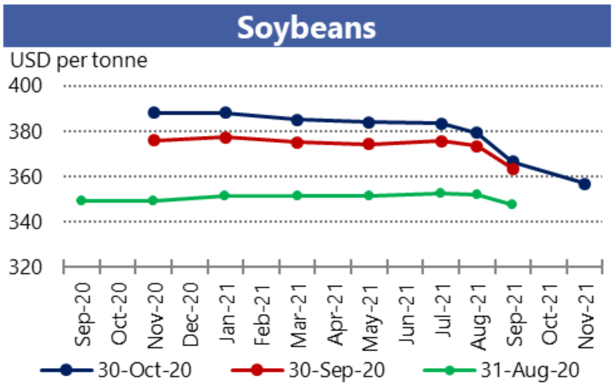
Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves

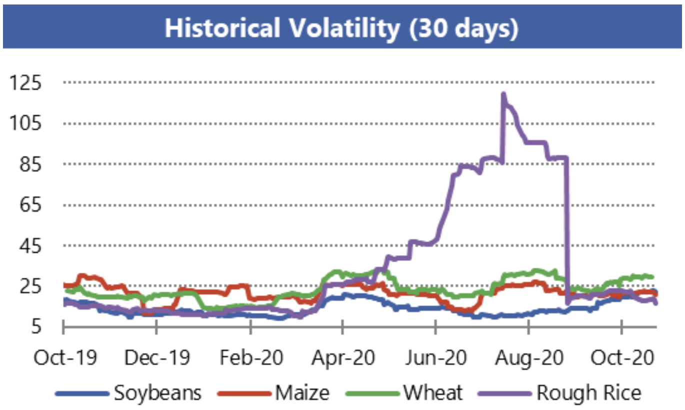


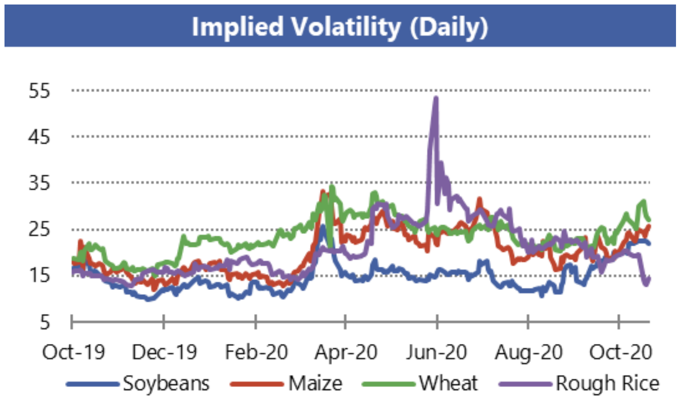






Historical and Implied Volatilities



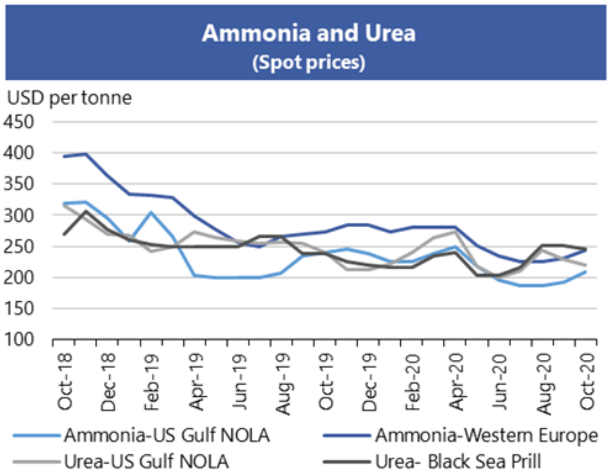


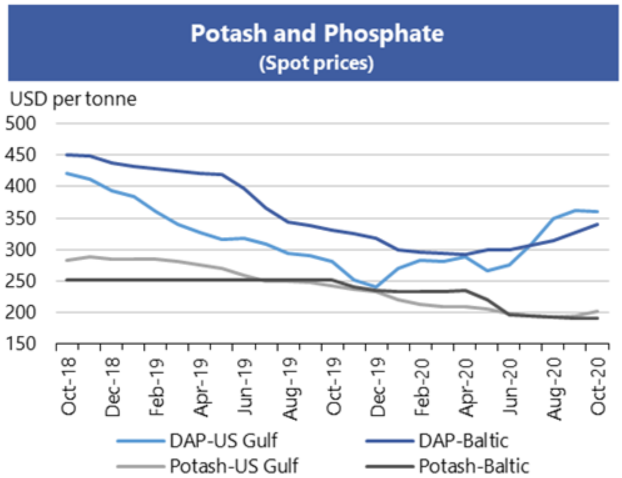
AMIS Market indicators

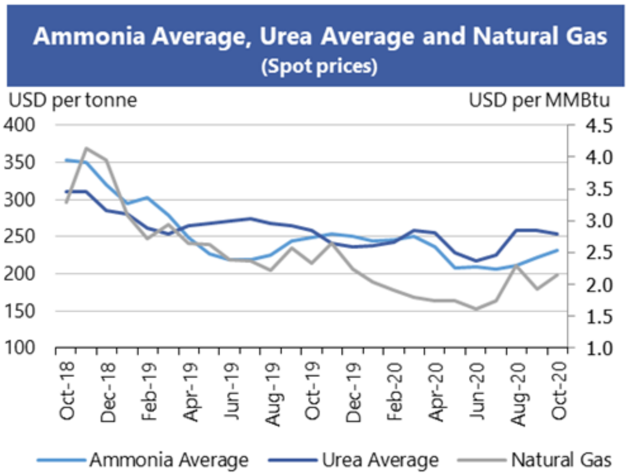
Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: [*http://www.amis-outlook.org/amis-monitoring/indicators/*](http://www.amis-outlook.org/amis-monitoring/indicators/)

**For more information about Forward Curves see the feature article in* *No. 75 February AMIS Market Monitor 2020*.

Fertilizer outlook







Note: Natural gas is used as major input to produce nitrogen-based fertilizers.
Own elaboration based on Bloomberg.

- **Natural gas prices** increased 12 percent m/m fuelled by stronger US demand and supply disruptions in the Gulf of Mexico due to hurricane activity.
- Higher gas prices pushed **ammonia prices** upward, increasing about 9 percent m/m in the US Gulf and 6 percent in Europe.
- **Urea prices** continued to fall due to accumulated inventories, particularly in India.
- Strong seasonal demand in the Southern Hemisphere due to plantings and limited supply from North Africa kept pushing **DAP prices** higher worldwide, except in the US.
- Early fall harvest in the US put an upward pressure on **potash prices**.

	October average	October std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	208.5	3.0	8.6%	-13.1%	250	186
Ammonia-Western Europe	243.0	8.7	5.5%	-10.8%	285	225
Urea-US Gulf	219.5	1.0	-4.4%	-8.4%	272.8	199.5
Urea-Black Sea	245.0	-	-2.4%	3.2%	251.0	203.0
DAP-US Gulf	360.0	-	-0.3%	27.8%	361.3	241
DAP-Baltic	340.0	-	4.1%	2.6%	340	291
Potash-Baltic	190.0	-	-0.3%	-24.5%	240.6	190
Potash- US Gulf NOLA	202.3	5.3	4.4%	-16.5%	237.0	193
Ammonia	232.2	3.4	4.4%	-6.8%	254.0	206.5
Urea	254.3	1.2	-1.9%	-1.7%	259.1	217
Natural Gas	2.1	0.5	12.0%	-7.8%	2.7	1.6

All prices shown are in US dollars.
Source: Own elaboration based on Bloomberg

Chart and tables description ** Estimated using available weekly data to date.*
Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US GUlf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers
DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

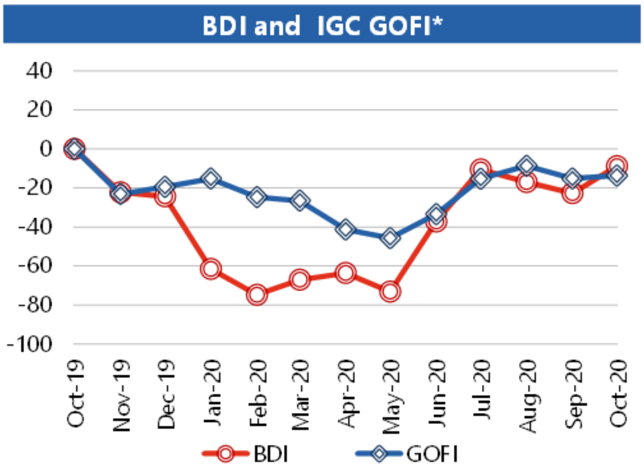
	October-20 average	Change m/m	y/y
Baltic Dry Index (BDI)*	**1664.9**	**+18.0%**	**-8.8%**
sub-Indices:			
Capesize	*2945.9*	*+35.2%*	*-4.7%*
Panamax	*1350.7*	*-2.4%*	*-23.8%*
Supramax	*978.6*	*+2.7%*	*-18.4%*
Baltic Handysize Index (BHSI)**	595.9	+4.8%	-8.2%

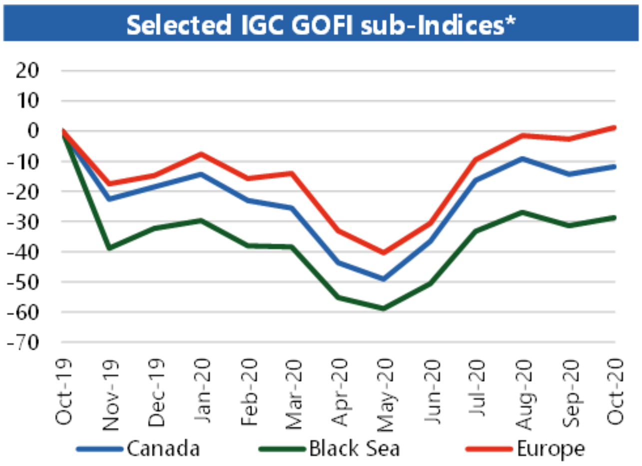
Sources: Baltic Exchange, IGC.

*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	October-20 average	Change m/m	y/y
IGC Grains and Oilseeds Freight Index (GOFI)* **	**116.2**	**+1.8%**	**-13.7%**
sub-Indices:			
Argentina	*141.3*	*-0.5%*	*-7.3%*
Australia	*74.4*	*-1.2%*	*-11.4%*
Brazil	*149.2*	*+1.1%*	*-14.7%*
Black Sea	*123.1*	*+3.9%*	*-28.7%*
Canada	*98.6*	*+2.9%*	*-11.8%*
Europe	*105.1*	*+4.0%*	*+1.2%*
US	*98.4*	*+2.2%*	*-11.5%*





*percentage change based on monthly average values

- The dry bulk freight complex witnessed relatively small changes across the grains and oilseeds carrying segments during October. However, with Capesize values one third higher compared to the previous month, average **Baltic Dry Index** (BDI) quotations were up by 18 percent m/m.
- Markets saw a buoyant start to the month, with the Index climbing to a one-year peak. However, slower than expected demand and rising concerns about surging COVID-19 infections and anticipated tighter restrictions in many regions pressured rates across main routes recently, dashing vessel owners' hopes for a strong end to the calendar year.
- Solid initial gains in the **Capesize** market were primarily driven by iron ore purchases by China. However, with demand falling short of expectations after China's Golden Week holidays and, with softer sentiment prevailing in Europe and South America, values receded thereafter.
- Earnings in the **Panamax** segment averaged 2 percent lower compared to September. Values trended higher in the earlier half of the period, buoyed by increasing demand in Europe, notably for minerals from the Baltic Sea, as well as grains and oilseeds-related enquiries at the US Gulf. Heightened worries about Australia-China coal trade pressured earnings more recently, as did slow activity in South America, albeit a pick-up in coal loadings in Indonesia offered late support.
- Average **Supramax** values were a little higher m/m. Although demand was generally soft, rates were buoyed by enquiries in Europe and the Mediterranean, even though discounting for fronthaul deliveries was noted in the latter region. **Handysize** earnings edged 5 percent higher during the period, mainly because brisk demand at the US Gulf compensated for subdued activity elsewhere, including in South America.
- With firmer bunker prices outweighing weakness in Panamax timecharter values, rates at most key origins averaged slightly higher m/m, lifting the **IGC Grains and Oilseeds Freight Index** (GOFI) by 2 percent.

Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.
IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.
Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.
Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.
Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of **"Markets at a glance"** reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion **"FAO-AMIS"**). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season) . For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

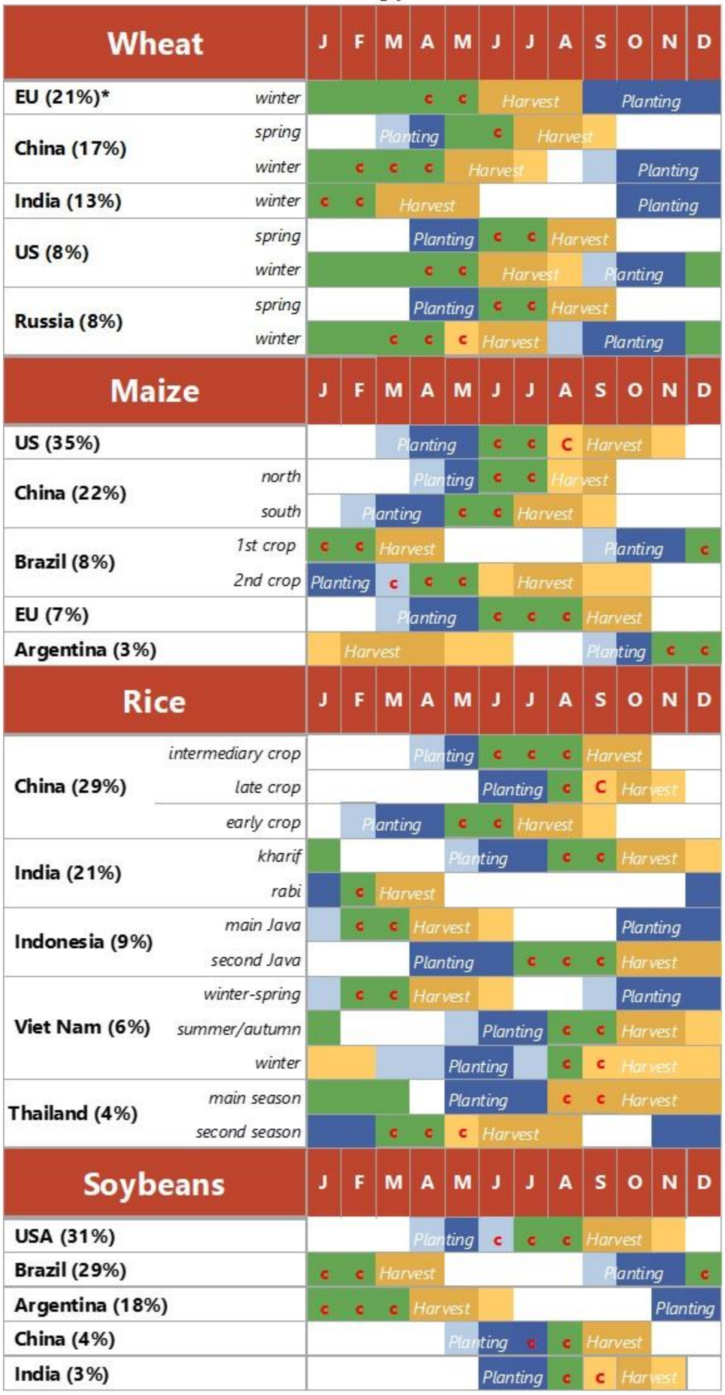
Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

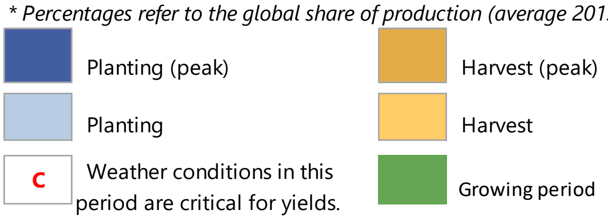
For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

AMIS - GEOGLAM Crop Calendar

Selected leading producers



** Percentages refer to the global share of production (average 2013-15).*



Main sources
Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

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